

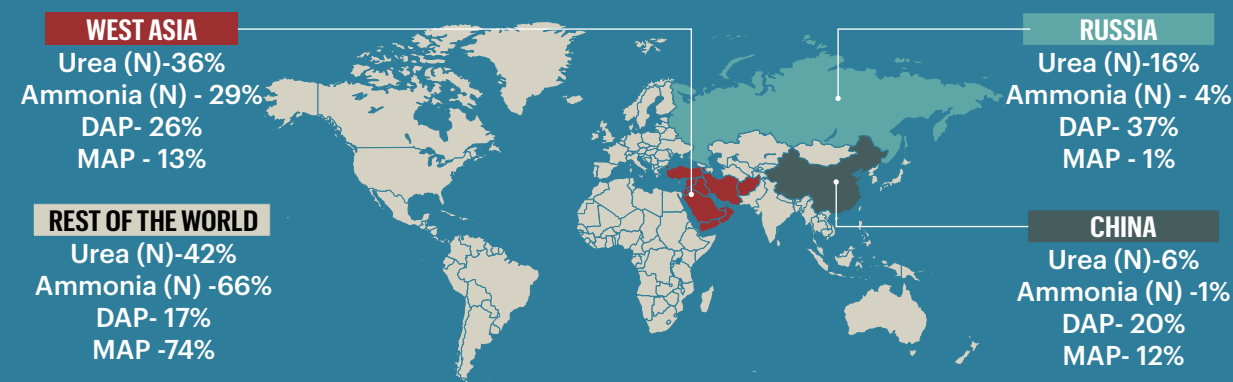
India depends on West Asia for not just oil but also farming. A large part of its fertiliser ecosystem, whether finished imports or inputs like natural gas and chemicals, depends on trade through this region. At the centre of it all lies the Strait of Hormuz. Sample this: 30% of the global fertiliser trade moves through this narrow corridor. Alongside, it transports nearly 20% of the world's LNG (a crucial fertiliser feedstock) and 27% of traded oil. Now, as this route faces disruptions, fertiliser supplies are tightening—just as India enters the kharif season

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THE WEST ASIA

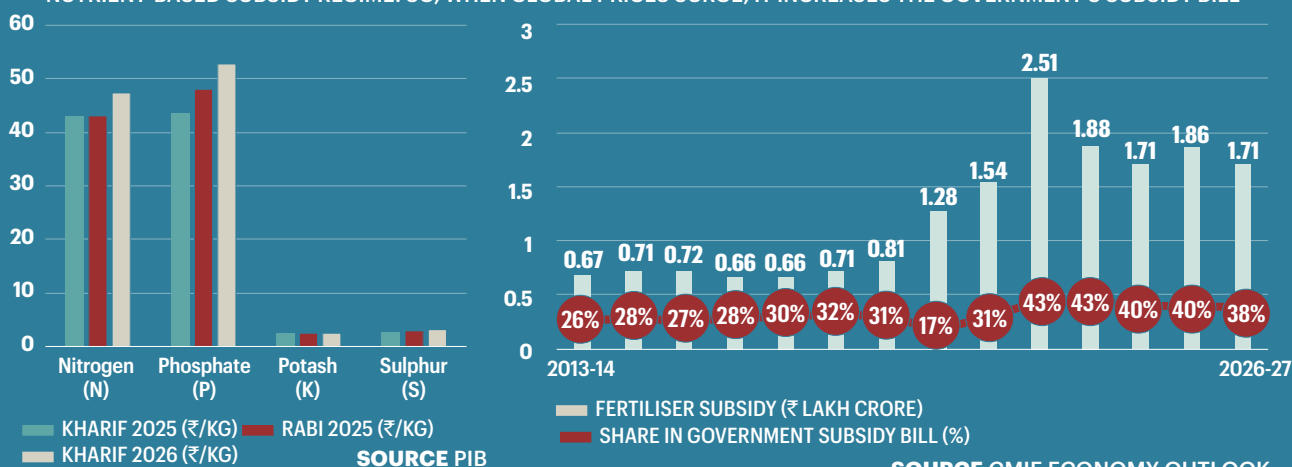
INDIA'S FERTILISER IMPORTS ARE SIGNIFICANTLY TIED TO WEST ASIA, WITH THE REGION ACCOUNTING FOR A MAJORITY OF UREA, AMMONIA, AND DAP IMPORTS



SOURCE TRADE DATA MONITOR

FISCAL PRESSURE POINT

KHARIF DRIVES THE BULK OF FERTILISER CONSUMPTION, LED BY NITROGEN-HEAVY CROPS LIKE PADDY. WHILE UREA IS THE ONLY FERTILISER WITH A GOVERNMENT-CONTROLLED PRICE, PHOSPHATIC AND POTASSIC FERTILISERS FALL UNDER THE NUTRIENT-BASED SUBSIDY REGIME. SO, WHEN GLOBAL PRICES SURGE, IT INCREASES THE GOVERNMENT'S SUBSIDY BILL



KHARIF SEASON ISN'T JUST FERTILISER-INTENSIVE—IT'S HEAVILY SKEWED TOWARDS PADDY. THAT MATTERS BECAUSE INDIA ISN'T JUST A TOP PRODUCER BUT ALSO WORLD'S LARGEST RICE EXPORTER

AND HERE'S THE TWIST. A LARGE SHARE OF THESE EXPORTS HEADS BACK TO WEST ASIA—THE SAME REGION INDIA DEPENDS ON FOR FERTILISER INPUTS. SO, ANY DISRUPTION CREATES A DOUBLE HIT, SQUEEZING SUPPLIES NEEDED TO GROW THE CROP, WHILE ALSO RISKING DEMAND FROM KEY EXPORT MARKETS